

Contractor Experience

2024-09-27

- Let n_i^{task} = Number of projects of the same task held by the contractor in the three quarters before starting project i
- Let n_i = Number of projects held by the contractor in the three quarters before starting project i
- Define:
 - Level of inexperience $_i = 1 - \frac{n_i^{task}}{n_i}$ if $n_i > 0$
 - Level of inexperience $_i = 1$ if $n_i = 0$

1 Discretizing

- Inexperienced = 1(Level of inexperience $_i > 0.5$)
 - This means less than 50% of contractor projects in the last three quarters were of same task
- Inexperienced = 1(Level of inexperience $_i > 0.7$)
 - This means less than 30% of contractor projects in the last three quarters were of same task type

Table 1: Continuous measure

	Num projects of same task past 3 qtrs	Num projects past 3 qtrs	IE
	I	II	III
$Treat_i$	23.996*** (1.047)	43.719*** (1.956)	0.002 (0.005)
$Treat_i \times Post_t$	-32.625*** (1.487)	-36.969*** (2.773)	0.024*** (0.004)
Time FE	Yes	Yes	Yes
Task FE	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
R ²	0.36	0.32	0.29
Pseudo R ²	0.04	0.03	0.38
Observations	165,508	165,508	165,508

Clustered (Project ID) standard-errors in parentheses

*Signif. Codes: ***: 0.01, **: 0.05, *: 0.1*

	IE	
	Threshold=0.5	Threshold=0.7
	I	II
$Treat_i$	0.059* (0.035)	0.099*** (0.035)
$Treat_i \times Post_t$	0.070** (0.034)	0.134*** (0.034)
Time FE	Yes	Yes
Task FE	Yes	Yes
Industry FE	Yes	Yes
Pseudo R^2	0.19	0.19
Observations	150,998	151,992

Clustered (Project ID) standard-errors in parentheses
*Signif. Codes: ***: 0.01, **: 0.05, *: 0.1*